

Chairman’s Statement

From Investment Holding Company to Strategic Operator
A new era of focused growth

The year 2025 marked a defining chapter in Savola’s long and proud history.



Sulaiman A. K. Al-Muhaidib
Chairman



It was a year in which we laid a stronger, more deliberate foundation for the next phase of the Group’s evolution. As we reflect on the year, the story of 2025 is one of disciplined shift toward an operating-led growth model, strategic clarity and a deepened commitment to Savola’s role as a national and regional food champion serving millions of consumers across our markets. Throughout the year, Savola continued to strengthen its position as a leading integrated food platform. We sharpened our strategic focus, reinforced the resilience of our operations and took decisive actions to rebalance our portfolio in pursuit of sustainable, long-term value creation. This included internal restructuring as well as the strategic exit from a number of underperforming value-added operations. Such actions reflect a Group that is not merely responding to a changing macro environment, but one that is actively repositioning itself as a strategic operator with purpose, conviction and discipline.

Strategic Evolution for Sustainable Growth

2025 was a pivotal year in advancing Savola’s strategic transformation. Building on the decisive steps taken in 2024, the Group continued its transition toward a more integrated food operating holding company. This evolution is designed to unlock intrinsic value across the portfolio through operational and financial levers, provide strategic clarity to each business and ensure Savola remains aligned with the evolving needs of consumers, partners and markets.

Our refined strategic direction centers on strengthening our core food platforms, including manufacturing, food retail and food service, all of which play a critical role in regional food security. At the same time, the Group is building flexibility to selectively pursue higher-margin adjacencies within priority geographies, investing where we see durable competitive advantage and rationalizing exposure where structural constraints limit long-term value creation. This strategic evolution is deliberate and multi-staged. While it will continue to unfold over several years, the foundations were firmly established during 2025 through sharper capital allocation discipline and a

more focused operating model along with organizational alignment that positions the Group for the next chapter of growth.

Supporting Saudi Arabia’s Vision 2030 and National Food Security

As a Saudi-born company with deep roots in the Kingdom, Savola views its success as closely linked to Saudi Arabia’s long-term prosperity and resilience. In 2025, we continued to play an active role in supporting Vision 2030, particularly in strengthening domestic food security and supply chain continuity.

Through continued investment in oil refining capacity, sugar operations, manufacturing efficiency and distribution capabilities, Savola contributed to reinforcing the availability of essential food products across the Kingdom. Our commitment to responsible sourcing, sustainable manufacturing and nationwide retail access through Panda supermarkets and other channels remained central to serving households across all regions. These efforts reflect Savola’s long-standing role as a trusted partner in the Kingdom’s economic transformation and food resilience agenda.

Focused Geographic Footprint and Disciplined Portfolio Reshaping

During the year, Savola continued to apply a disciplined approach to its geographic footprint. Consistent with our refined strategy, we selectively exited markets where scale limitations or structural challenges constrained long-term potential, while reinforcing our presence in geographies with strong fundamentals and strategic relevance.

This portfolio reshaping was undertaken in alignment with our strategic priorities. It reflects our commitment to deploy capital responsibly, focus on markets where Savola can compete effectively and ensure that each component of the portfolio contributes meaningfully to sustainable shareholder value.

Chairman’s Statement (continued)

Financial Performance and Capital Discipline in 2025

In a year marked by global and regional uncertainty, Savola delivered a stable and resilient financial performance, reflecting the strength of our core food platforms and the benefits of disciplined execution. Improved efficiency across Savola Foods, along with continued progress in strengthening Panda’s competitiveness and customer value proposition, supported stable earnings and solid cash generation.

The Group maintained a strong financial position in 2025, underpinned by prudent capital allocation and disciplined balance sheet management. Investment during the year was focused on reinforcing core manufacturing and distribution capabilities that support long-term food security and sustainable growth. This approach has preserved Savola’s financial flexibility and positions the Group well to navigate volatility while continuing to create long-term value for shareholders.

Market Dynamics and Implications for our Outlook

The operating environment in 2025 was shaped by ongoing commodity volatility, inflationary pressures and shifts in global trade flows influenced by geopolitical developments. These conditions reinforced the importance of the strategic changes we have undertaken.

By strengthening our core food platforms, enhancing supply chain control and operating as a more integrated food group, Savola is better positioned to manage volatility and capture emerging opportunities across the Middle East and North Africa. These dynamics continue to validate the long-term relevance of our strategic direction.

Robust Corporate Governance and Board Oversight

In 2025, governance continued to evolve in line with Savola’s refined operating model and updated its corporate governance framework and authority matrix to reflect its strategic evolution, while maintaining adherence to high international standards.

The Board remained actively engaged throughout the year, providing oversight and guidance as Savola progressed through its transformation. We continue to view strong governance, transparency and accountability as essential enablers of sustainable value creation. In December 2025, Savola Group was recognized by Alfaisal University for its outstanding corporate governance practices, underscoring the effectiveness of its governance system and its strong standards of oversight, transparency and accountability as key enablers of sustainable value creation.



Outlook for 2026

As we look ahead to 2026, Savola enters a year of execution and acceleration. The Group’s priorities are well defined and focused on translating ambition into measurable outcomes. Our agenda centers on deepening integration and value creation across core food platforms, advancing selective partnerships and growth opportunities identified in prior years, strengthening Panda’s competitiveness and profitability, continuing to simplify and improve efficiency across the Group structure and ensuring disciplined capital deployment to enhance shareholder returns.

Closing acknowledgment

In closing, I extend my sincere appreciation to our shareholders for their continued trust, to my fellow Board members for their guidance, to our management teams and more than 15,000 employees whose dedication drives Savola forward each day. I also express our sincere thanks and appreciation to the Custodian of the Two Holy Mosques, King Salman bin Abdulaziz Al Saud, and to His Royal Highness the Crown Prince, Prince Mohammed bin Salman—may God protect them—for their unwavering support and tireless efforts to advance all sectors. We also thank our wise Government, government partners, and regulators for their continued support of the private sector and the food industry.

Above all, we are grateful to the millions of customers who have placed their trust in Savola for more than 4 decades. As we enter our next phase of growth, we remain firmly committed to earning that trust by building a stronger, more focused and more competitive Savola that is positioned to create enduring value for all stakeholders

The transformation is progressing with clarity and momentum. The foundation is stronger, and the path forward is defined.

